

1 ENGROSSED HOUSE
2 BILL NO. 3464

By: Boles, Chapman, and
Dobrinski of the House

3 and

4 Paxton of the Senate
5
6

7 An Act relating to energy; creating the Oklahoma
8 Energy Storage Resource Safety Act; stating
9 legislative intent; defining terms; requiring energy
10 storage resources comply with certain safety codes
11 and standards; providing for resolution if conflict
12 exists; limiting application for certain energy
13 storage resources; authorizing requirement for
14 certain written report; listing required contents of
15 written report; requiring certain cooperation;
16 requiring certain information be provided; requiring
17 the curing of noncompliance before commencement of
18 operations; requiring certain energy storage resource
19 to have emergency operations plan; listing
20 requirements of emergency operations plan; requiring
21 submission of emergency operations plan; requiring
22 the offering of certain training to local first
23 responders; listing requirements of training;
24 prohibiting certain actions by political
subdivisions; requiring certain agreements contain
decommissioning provisions; requiring landowner make
certain timely requests for grantee compliance;
stating certain applicability; requiring certain
financial assurance be delivered; stating acceptable
forms of financial assurance; requiring certain
amount of financial assurance; providing agreement
contain certain provisions; detailing agreement
provision requirements; assigning certain costs to
grantee; prohibiting certain cancellation of
financial assurance; making certain agreement
provisions void; providing for certain injunctive
relief; establishing fees for review and permitting
certain facilities by the Office of the Oklahoma
State Fire Marshal; limiting the amount of collected
fees; providing for distribution of collected fees;
requiring completion of certain report as soon as

1 practicable; requiring the State Fire Marshal
2 Commission to adopt certain rules; requiring fees and
3 timing to continue to conform if certain delegation
4 occurs; limiting application of act to certain
5 facilities; creating the Oklahoma Solar Energy
6 Development Act; stating legislative findings;
7 requiring owners of solar energy facilities to
8 provide certain statement to landowners; listing
9 minimum requirements of statements; authorizing
10 certain landowners the right to inspect records to
11 verify payments; requiring certain records be made
12 available; detailing the procedure for providing
13 records; requiring the annual reporting of
14 generation, nameplate capacity, and facility location
15 to the Oklahoma Corporation Commission; requiring the
16 keeping of liability insurance policy prior to
17 commencement of construction; requiring landowner be
18 added as additional insured to policy; requiring
19 certain evidence of policy be submitted to landowner;
20 requiring certain notice; requiring submission of a
21 notification of intent to build; requiring
22 Corporation Commission prescribe form and submission
23 requirements; listing certain required information;
24 requiring certain notification to board of county
commissioners or municipality; requiring publication
of certain notice by certain date; requiring copies
of notice be sent to certain specified parties;
requiring an affidavit in certain situations;
requiring the holding of a public meeting; requiring
notice of public meeting be published and submitted;
listing requirements of public meeting notice;
requiring certain notice to surface estate owner;
requiring certain provided information be
confidential and proprietary; requiring parties take
certain actions; stating confidentiality provisions
shall not be limited by certain agreements; providing
for certain penalties; listing requirements of notice
to surface estate; prohibiting commencement of
construction until all notification requirements are
satisfied; requiring notification to Corporation
Commission that certain requirements have been met;
providing for certain penalty; stating requirements
shall only apply to certain facilities; requiring
submission of certain site plans to the Office of the
Oklahoma State Fire Marshal at certain time; listing
requirements to be included in site plan; limiting
review of the Office of the Oklahoma State Fire

1 Marshal; requiring review be completed as soon as
2 practicable; allowing certain on-site actions to
3 proceed during review period; authorizing assessment
4 of certain fee; limiting the amount of collected fee;
5 providing for fee distribution; providing for
6 application to certain facilities; requiring
7 compliance with certain act; requiring submission of
8 certain evidence of financial assurance; providing
9 for certain calculations of financial assurance;
10 requiring financial assurance be certain percentage
11 of decommissioning estimate; authorizing Corporation
12 Commission to promulgate certain rules; granting
13 certain exclusive jurisdiction; providing for
14 codification; providing an effective date; and
15 declaring an emergency.

16
17 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

18 SECTION 1. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section 180.14 of Title 17, unless there
20 is created a duplication in numbering, reads as follows:

21 Sections 1 through 8 of this act shall be known and may be cited
22 as the "Oklahoma Energy Storage Resource Safety Act".

23 SECTION 2. NEW LAW A new section of law to be codified
24 in the Oklahoma Statutes as Section 180.15 of Title 17, unless there
is created a duplication in numbering, reads as follows:

The Legislature finds that:

1. To protect the citizens of Oklahoma, energy storage
resources shall satisfy safety codes and standards; and

2. This act is intended to help Oklahoma secure the benefits of
energy storage resources to provide electric grid reliability.

SECTION 3. NEW LAW

A new section of law to be codified

in the Oklahoma Statutes as Section 180.16 of Title 17, unless there is created a duplication in numbering, reads as follows:

As used in the Oklahoma Energy Storage Resource Safety Act:

1. "Commencement of operations" means the date on which an energy storage resource first delivers electricity to the grid in an amount sufficient for commercial sale or use off-site from the energy storage resource, but shall not include amounts of electrical energy used only for the maintenance or testing of the energy storage resource or related equipment;

2. "Energy storage resource" means a resource capable of receiving electric energy from the electrical grid, or from a generation source with which it is associated, and storing such electric energy for later injection into the electrical grid;

3. "Energy storage resource agreement" means a lease agreement between a grantee and a landowner that authorizes the grantee to operate an energy storage resource on the leased property;

4. "Grantee" means a person, other than an electric utility who:

a. leases property from a landowner, and

b. operates an energy storage resource on the property;

and

1 5. "Resource owner" means the entity having a majority equity
2 interest in the energy storage resource, including its respective
3 successors and assigns.

4 SECTION 4. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 180.17 of Title 17, unless there
6 is created a duplication in numbering, reads as follows:

7 A. An energy storage resource shall comply with the following
8 minimum safety codes and standards for energy storage resource
9 equipment or facilities:

10 1. The International Fire Code (IFC), as adopted and amended by
11 the Oklahoma Uniform Building Code Commission, in effect at the time
12 a construction permit is applied for; and

13 2. Criteria described in the National Fire Protection
14 Association (NFPA) 855 2026 Standard for the Installation of
15 Stationary Energy Storage Systems.

16 Where a conflict exists between the requirements of the IFC, as
17 adopted and amended by the Oklahoma Uniform Building Code
18 Commission, and the NFPA 855 2026 edition, the provisions of the
19 NFPA 855 2026 edition shall take precedence. For an energy storage
20 resource with a nameplate capacity equal to or less than one (1)
21 megawatt, only the provisions of this subsection shall apply.

22 B. Before a construction permit is issued for an energy storage
23 resource, the entity responsible for fire inspection and primary
24 emergency response may require the resource owner to pay for an

1 independent, third-party engineer licensed in this state or other
2 consultant with appropriate expertise, to provide a written report
3 to the entity responsible for fire inspection and primary emergency
4 response and the resource owner determining:

5 1. Whether the energy storage resource, as proposed, complies
6 with subsection A of this section; and

7 2. To the extent the energy storage resource does not comply
8 with subsection A of this section, any appropriate actions to cure
9 such noncompliance in accordance with the NFPA 855 2026 edition.

10 C. Any resource owner that receives a lawful request pursuant
11 to subsection B of this section shall cooperate with the request.
12 Such cooperation shall include providing the engineer or consultant
13 with all necessary documents relating to the energy storage
14 resource's site layout, emergency operations plan, hazard mitigation
15 analysis, manufacturer specifications, product listings, including,
16 but not limited to, UL 9540 and UL 9540A reports, compliance with
17 the NFPA 855 2026 edition and other applicable referenced standards,
18 electrical drawings, monitoring procedures, and fire protection
19 system, as applicable to the proposed energy storage resource. If
20 the engineer or consultant identifies appropriate actions to cure
21 noncompliance under paragraph 2 of subsection B of this section, the
22 resource owner shall implement said appropriate actions before
23 commencement of operations.

1 D. Energy storage resources, other than energy storage systems
2 installed in one- and two-family dwellings as defined in the NFPA
3 855 2026 edition, in this state shall have and maintain, at an on-
4 site location accessible to local first responders, a site-specific
5 emergency operations plan. In accordance with the NFPA 855 2026
6 edition, the site-specific emergency operations plan shall identify:

7 1. Potential risks and hazards specific to the site;

8 2. Hazard mitigation measures;

9 3. Procedures for the safe shutdown, de-energizing, or
10 isolation of equipment and systems under emergency conditions,
11 including emergency procedures to be followed in case of fire;

12 4. Procedures for handling equipment damaged in a fire or other
13 emergency event;

14 5. Procedures and schedules for conducting drills using the
15 procedures listed under this subsection and documentation related to
16 the performance of the drills;

17 6. Procedures for communication between the operator of the
18 energy storage resource and first responders, including procedures
19 that facilitate communication between first responders and emergency
20 contacts for the resource operator; and

21 7. Emergency operations protocols to ensure safety during
22 critical events, including protocols that provide for the safety of
23 nearby residents, neighboring properties, and first responders.

1 E. Before commencement of operations, the resource owner shall
2 provide the site-specific emergency operations plan to the entity
3 responsible for fire inspection and primary emergency response.

4 F. Energy storage resource owners in this state shall offer to
5 local first responders, at no cost to the responders, education and
6 training regarding responding to an equipment failure incident at
7 the energy storage resource site. The training shall include:

8 1. Training on specific characteristics of the energy storage
9 resource technology;

10 2. Training on protecting first responders during incident
11 response;

12 3. Training on hazards commonly associated with incident
13 response;

14 4. Training on incident response protocols, including an
15 overview of the site-specific emergency operations plan developed
16 under subsection D of this section; and

17 5. An on-site review of the perimeter, major equipment, and
18 ingress and egress to the energy storage resource site.

19 G. Unless expressly authorized by law, political subdivisions
20 in this state shall not adopt, enforce, or maintain any rules,
21 regulations, codes, or standards that uniquely apply to energy
22 storage resources other than those set forth in the Oklahoma Energy
23 Storage Resource Safety Act.

1 SECTION 5. NEW LAW A new section of law to be codified

2 in the Oklahoma Statutes as Section 180.18 of Title 17, unless there
3 is created a duplication in numbering, reads as follows:

4 A. An energy storage resource agreement executed after the
5 effective date of this act shall provide that the grantee is
6 responsible for removing the grantee's components of an energy
7 storage resource facility from the landowner's property and that the
8 grantee shall, in accordance with any other applicable laws or
9 regulations, safely perform the following:

10 1. Clear, clean, and remove from the property each energy
11 storage resource and associated transformers and substations;

12 2. For each foundation of an energy storage resource,
13 transformer, or substation installed in the ground:

14 a. clear, clean, and remove the foundation from the
15 ground to a depth of at least three (3) feet below the
16 surface grade of the land in which the foundation is
17 installed, and

18 b. ensure that each hole or cavity created in the ground
19 by the removal is filled with soil of the same type or
20 a similar type as the predominant soil found on the
21 property;

22 3. For each buried cable, including power, fiber-optic, and
23 communications cables, installed in the ground:

- a. clear, clean, and remove the cable from the ground to a depth of at least three (3) feet below the surface grade of the land in which the cable is installed, and
- b. ensure that each hole or cavity created in the ground by the removal is filled with soil of the same type or a similar type as the predominant soil found on the property; and

4. Clear, clean, and remove from the property each overhead power or communications line installed by the grantee on the property at the request of the landowner.

B. The agreement shall provide that, at the request of the landowner, the grantee shall:

1. Clear, clean, and remove each road constructed by the grantee on the property; and

2. Ensure that each hole or cavity created in the ground by the removal is filled with soil of the same type or a similar type as the predominant soil found on the property.

C. The agreement shall provide that, at the request of the landowner, if reasonable, the grantee shall:

1. Remove from the property all rocks over twelve (12) inches in diameter excavated during the decommissioning or removal process;

2. Return the property to a tillable state using scarification, V-rip, or disc methods, as appropriate; and

3. Ensure that:

1 a. each hole or cavity created in the ground by the
2 removal is filled with soil of the same type or a
3 similar type as the predominant soil found on the
4 property, and

5 b. the surface is returned as near as reasonably possible
6 to the same condition as before the grantee dug holes
7 or cavities, including by reseeding pastureland with
8 native grasses prescribed by an appropriate
9 governmental agency, if any. Noninvasive grasses
10 shall be allowed when reseeding native grasses is not
11 economically feasible.

12 D. The landowner shall make a request under subsection B or C
13 of this section not later than the one hundred eightieth day after
14 the later of:

15 1. The date on which the landowner receives from the grantee
16 via certified mail a copy of a notification of intent to suspend
17 operations filed with a grid operator indicating an intent to
18 permanently cease operations; or

19 2. The date the landowner receives written notice of intent to
20 decommission the energy storage resource from the grantee.

21 E. The provisions of this section shall only apply to energy
22 storage resource agreements executed after the effective date of
23 this act and shall have no effect on existing agreements.
24

1 SECTION 6. NEW LAW A new section of law to be codified

2 in the Oklahoma Statutes as Section 180.19 of Title 17, unless there
3 is created a duplication in numbering, reads as follows:

4 A. An energy storage resource agreement executed after the
5 effective date of this act shall provide that the grantee obtain and
6 deliver to the landowner evidence of financial assurance that
7 conforms to the requirements of this section to secure the
8 performance of the grantee's obligation to remove the grantee's
9 energy storage resource facilities located on the landowner's
10 property as described by Section 5 of this act. Acceptable forms of
11 financial assurance include a parent company guaranty with a minimum
12 investment grade credit rating for the parent company issued by a
13 major domestic credit rating agency, a letter of credit, a bond, or
14 another form of financial assurance reasonably acceptable to the
15 landowner.

16 B. The amount of the financial assurance shall be at least
17 equal to the estimated amount by which the cost of removing the
18 energy storage resource facilities from the landowner's property and
19 restoring the property to as near as reasonably possible the
20 condition of the property as of the date the agreement begins
21 exceeds the salvage value of the facilities, less any portion of the
22 value of the facilities pledged to secure outstanding debt.

23 C. The agreement shall provide that:
24

1 1. The estimated cost of removing the energy storage resource
2 facilities from the landowner's property and restoring the property
3 to as near as reasonably possible the condition of the property as
4 of the date the agreement begins, and the estimated salvage value of
5 the energy storage resource facilities, shall be determined by an
6 independent, third-party professional engineer licensed in this
7 state;

8 2. The grantee shall deliver to the landowner an updated
9 estimate, prepared by an independent, third-party professional
10 engineer licensed in this state, of the cost of removal and the
11 salvage value:

12 a. on or before the tenth anniversary of commencement of
13 operations of the energy storage resource facility,
14 and

15 b. at least once every five (5) years thereafter for the
16 remainder of the term of the agreement; and

17 3. The grantee is responsible for ensuring that the amount of
18 the financial assurance remains sufficient to cover the amount
19 required by subsection B of this section, consistent with the
20 estimates required by this subsection.

21 D. The grantee is responsible for the costs of obtaining
22 financial assurance described by this section and costs of
23 determining the estimated removal costs and salvage value.
24

1 E. The agreement shall provide that, if the grantee fails to
2 fulfill the scope of decommissioning and removal work specified in
3 the agreement, the grantee shall deliver the financial assurance not
4 later than the earlier of:

5 1. The date the energy storage resource agreement is
6 terminated; or

7 2. The twentieth anniversary of the commencement of operations
8 of the energy storage resources located on the landowner's property,
9 unless the term of the agreement is extended.

10 F. The grantee may not cancel financial assurance before the
11 date the grantee has completed the grantee's obligation to remove
12 the grantee's energy storage resource facilities located on the
13 landowner's property in the manner provided by this act, unless the
14 grantee provides the landowner with replacement financial assurance
15 at the time of or before the cancellation. In the event of a
16 transfer of ownership of the grantee's energy storage resource
17 facilities, the financial security provided by the grantee shall
18 remain in place until the date evidence of replacement financial
19 security meeting the requirements of this act is provided to the
20 landowner by the transferee.

21 G. The provisions of this section shall only apply to energy
22 storage resource agreements executed after the effective date of
23 this act and shall have no effect on existing agreements.
24

1 SECTION 7. NEW LAW A new section of law to be codified

2 in the Oklahoma Statutes as Section 180.20 of Title 17, unless there
3 is created a duplication in numbering, reads as follows:

4 A. A provision of an energy storage resource agreement executed
5 after the effective date of the Oklahoma Energy Storage Resource
6 Safety Act that purports to waive a right or exempt a grantee from a
7 liability or duty established under the Oklahoma Energy Storage
8 Resource Safety Act is void and unenforceable, but the remainder of
9 the agreement shall remain enforceable.

10 B. A resource owner shall comply with the decommissioning
11 obligations set forth in the Oklahoma Energy Storage Resource Safety
12 Act. A landowner subject to an energy storage resource agreement is
13 expressly authorized to bring an action in district court for
14 injunctive relief to enforce compliance with this act.

15 C. The provisions of this section are not exclusive. The
16 remedies provided in this section are in addition to any other
17 procedures or remedies provided by other law. Failure to comply
18 with the Oklahoma Energy Storage Resource Safety Act does not impair
19 the validity or enforceability of any lease, easement, mortgage,
20 deed of trust, or other interest in real property.

21 SECTION 8. NEW LAW A new section of law to be codified

22 in the Oklahoma Statutes as Section 180.21 of Title 17, unless there
23 is created a duplication in numbering, reads as follows:

1 A. For energy storage resource facilities located in areas
2 where no recognized local authority having jurisdiction exists, and
3 where, as a result, any component of an energy storage resource
4 facility or the energy storage resource facility itself is subject
5 to inspections, plan reviews, or permits from the Office of the
6 Oklahoma State Fire Marshal, as provided in the codes adopted by the
7 Oklahoma Uniform Building Code Commission, the State Fire Marshal
8 Commission may establish a fee rate of no more than six cents
9 (\$0.06) per square foot of surface physically occupied aboveground
10 by energy storage resource facility infrastructure. Such fee shall
11 be inclusive of all inspections, plan reviews, permit issuance, and
12 other review actions undertaken by the Office of the Oklahoma State
13 Fire Marshal in connection with the project, and the total fee shall
14 not exceed Five Hundred Thousand Dollars (\$500,000.00) for any
15 individual energy storage resource facility. Nothing in this
16 section shall be construed to authorize the collection of fees
17 beyond said amount, except as otherwise provided by law. Where a
18 recognized local authority having jurisdiction exists, such local
19 authority is subject to the same fee limitations as the Office of
20 the Oklahoma State Fire Marshal established in this subsection.

21 B. Any fees collected pursuant to subsection A of this section
22 shall be distributed as follows:

23 1. Seventy-five percent (75%) of such fees shall be
24 distributed to the local fire department providing primary fire

1 protection services to the jurisdiction where the facility is
2 located, within sixty (60) days of receipt. Funds distributed under
3 this paragraph shall be used solely for fire protection, fire
4 prevention, inspections, training, or emergency response activities
5 related to the facility; and

6 2. Twenty-five percent (25%) of such fees shall be distributed
7 to the permit issuing authority, whether the Office of the Oklahoma
8 State Fire Marshal or a recognized local authority having
9 jurisdiction, if delegated.

10 C. For purposes of this section, "recognized local authority
11 having jurisdiction" means a city, town, college, county, or fire
12 protection district that has been recognized by the Office of the
13 Oklahoma State Fire Marshal as the authority having jurisdiction for
14 permits, inspections, and enforcement under the adopted codes.

15 D. The Office of the Oklahoma State Fire Marshal or a local
16 authority having jurisdiction, where applicable, shall complete any
17 review subject to subsection A of this section as soon as
18 practicable, and in no event later than thirty (30) calendar days
19 following receipt of complete site plans. In the event the Office
20 of the Oklahoma State Fire Marshal does not complete its review
21 within thirty (30) calendar days, any applicable permits and
22 certificates shall be deemed issued.

23 E. The State Fire Marshal Commission shall adopt rules as
24 necessary to implement the provisions of this section, pursuant to

1 Section 324.9 of Title 74 of the Oklahoma Statutes, including, but
2 not limited to, fee collection and distributions.

3 SECTION 9. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 160.24 of Title 17, unless there
5 is created a duplication in numbering, reads as follows:

6 A. To the extent required by law, for wind energy facilities
7 located in areas where no recognized local authority having
8 jurisdiction exists, and where, as a result, any component of a wind
9 energy facility or the wind energy facility itself is subject to
10 inspections, plan reviews, or permits from the Office of the
11 Oklahoma State Fire Marshal, as provided in the codes adopted by the
12 Oklahoma Uniform Building Code Commission, the State Fire Marshal
13 Commission may establish a fee rate of no more than six cents
14 (\$0.06) per square foot of surface physically occupied aboveground
15 by wind energy facility's occupiable operations and maintenance
16 buildings. Such fee shall be inclusive of all inspections, plan
17 reviews, permit issuance, and other review actions undertaken by the
18 Office of the Oklahoma State Fire Marshal in connection with the
19 project, and the total fee shall not exceed Five Hundred Thousand
20 Dollars (\$500,000.00) for any individual wind energy facility.
21 Nothing in this section shall be construed to authorize the
22 collection of fees beyond said amount, except as otherwise provided
23 by law. Where a recognized local authority having jurisdiction
24 exists, such local authority is subject to the same fee limitations

1 as the Office of the Oklahoma State Fire Marshal established in this
2 subsection.

3 B. Any fees collected pursuant to subsection A of this section
4 shall be distributed as follows:

5 1. Seventy-five percent (75%) of such fees shall be distributed
6 to the local fire department providing primary fire protection
7 services to the jurisdiction where the facility is located, within
8 sixty (60) days of receipt. Funds distributed under this paragraph
9 shall be used solely for fire protection, fire prevention,
10 inspections, training, or emergency response activities related to
11 the facility; and

12 2. Twenty-five percent (25%) of such fees shall be distributed
13 to the permit issuing authority, whether the Office of the Oklahoma
14 State Fire Marshal or a recognized local authority having
15 jurisdiction, if delegated.

16 C. For purposes of this section, "recognized local authority
17 having jurisdiction" means a city, town, college, county, or fire
18 protection district that has been recognized by the Office of the
19 Oklahoma State Fire Marshal as the authority having jurisdiction for
20 permits, inspections, and enforcement under the adopted codes.

21 D. The Office of the Oklahoma State Fire Marshal or a local
22 authority having jurisdiction, where applicable, shall complete any
23 review subject to subsection A of this section as soon as
24 practicable, but in no event later than thirty (30) calendar days

1 following receipt of complete site plans. In the event the Office
2 of the Oklahoma State Fire Marshal does not complete its review
3 within thirty (30) calendar days, any applicable permits and
4 certificates shall be deemed issued.

5 E. The State Fire Marshal Commission shall adopt rules as
6 necessary to implement the provisions of this section, pursuant to
7 Section 324.9 of Title 74 of the Oklahoma Statutes, including, but
8 not limited to, fee collection and distributions.

9 F. If the Office of the Oklahoma State Fire Marshal delegates
10 any site plan review, permitting, or similar authority over a wind
11 energy facility to a recognized local authority having jurisdiction,
12 fees and timing shall continue to conform to the subsections of this
13 section.

14 G. The provisions of this section shall not apply to any
15 facilities that commenced construction before the effective date of
16 this act, including any subsequent maintenance, repairs,
17 modifications, or other work on, or repower of, existing facilities.

18 SECTION 10. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section 809 of Title 17, unless there is
20 created a duplication in numbering, reads as follows:

21 Sections 10 through 20 of this act shall be known and may be
22 cited as the "Oklahoma Solar Energy Development Act".
23
24

1 SECTION 11. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 809.1 of Title 17, unless there
3 is created a duplication in numbering, reads as follows:

4 The Legislature finds that the prudent development of solar
5 energy resources requires assurances that the rights of private
6 landowners should be protected, that such landowners have access to
7 adequate information to verify the accuracy of their payments, among
8 other protections, and that public and mineral interest operators
9 receive sufficient notice of planned developments.

10 SECTION 12. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section 809.2 of Title 17, unless there
12 is created a duplication in numbering, reads as follows:

13 As used in the Oklahoma Solar Energy Development Act:

14 1. "Commencement of construction" means the date on which the
15 owner or developer of a solar energy facility installs a post or
16 posts into the ground for panel or inverter foundations. The term
17 shall not include environmental assessments, surveys, preliminary
18 engineering, site preparation, or other activities associated with
19 assessment of development of the solar resources on a given parcel
20 of property;

21 2. "Facility" means a solar energy facility;

22 3. "Owner" means the entity having a majority equity interest
23 in a solar energy facility, including its respective successors and
24 assigns;

1 4. "Racking system" means the permanent structural framework,
2 including foundations, piles, mounts, or tracking equipment that is
3 designed to support, anchor, and orient photovoltaic modules or
4 related solar-energy-producing equipment at a solar energy facility
5 and that is integral to the facility's ability to generate
6 electricity;

7 5. "Solar energy facility" means an electric-generating
8 facility using photovoltaic or solar-thermal technologies with a
9 nameplate capacity greater than one (1) megawatt alternating current
10 (AC), designed to deliver energy to the electric grid and not
11 primarily to on-site load, unless otherwise specified by state law;
12 and

13 6. "Working interest" means the interest in a well or the
14 interest in a unit created by order of the Corporation Commission
15 that entitles the oil and gas lessee, or the lessee's successor or
16 assign, to drill for and produce oil and gas.

17 SECTION 13. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 809.3 of Title 17, unless there
19 is created a duplication in numbering, reads as follows:

20 For landowners who are paid based on the amount of electrical
21 energy produced from the conversion of solar energy, the owner of
22 any solar energy facility shall provide a statement within ten (10)
23 business days of the payment to the landowner in consideration for
24 the use of the property of the landowner to generate electrical

1 energy. The statement shall provide, at a minimum, information
2 reasonably necessary to assist the landowner an understanding of the
3 basis for the payment to the landowner and a means of confirming its
4 accuracy.

5 SECTION 14. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 809.4 of Title 17, unless there
7 is created a duplication in numbering, reads as follows:

8 A. Any landowner who has, through a lease, easement, or other
9 arrangement, allowed a solar energy facility foundation or racking
10 system to be placed on the property of the landowner and who is paid
11 based on the amount of electrical energy produced from the
12 conversion of solar energy shall have the right to inspect the
13 records of the owner of the solar energy facility for the purpose of
14 confirming the accuracy of any payments made to the landowner within
15 the past twenty-four (24) months.

16 B. The owner of any solar energy facility, any portion of which
17 is located in this state, upon request of a landowner with the right
18 to inspect records as set forth in subsection A of this section,
19 shall make available, within a reasonable time, all records,
20 documents, data, and other information, or copies thereof, as are
21 necessary for a landowner to conduct the inspection specified in
22 subsection A of this section. The records shall be made available
23 within the confines of this state and in a location and manner that
24 affords a landowner reasonable access to the records during normal

1 business hours. The landowner shall be permitted one request per
2 calendar year and be afforded a reasonable length of time to
3 complete the inspection but shall not cause undue disruption to the
4 operations of the owner during the inspection. The records shall be
5 subject to the confidentiality requirements contained in the
6 respective landowner lease agreement.

7 SECTION 15. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 809.5 of Title 17, unless there
9 is created a duplication in numbering, reads as follows:

10 A. The owner of any solar energy facility shall report to the
11 Oklahoma Corporation Commission the electrical energy generated by
12 the solar energy facility, the nameplate capacity of the solar
13 energy facility, and the location of the solar energy facility.

14 B. If a solar energy facility contains generating units with
15 different nameplate capacities, the information required in
16 subsection A of this section shall be reported separately for each
17 nameplate capacity.

18 C. The information required by this section shall be reported
19 on an annual basis, with the information due not later than March 1
20 of each calendar year.

21 SECTION 16. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section 809.6 of Title 17, unless there
23 is created a duplication in numbering, reads as follows:

24

1 A. Prior to commencing construction of a solar energy facility,
2 the owner of the solar energy facility shall obtain and keep in
3 effect either:

4 1. A commercial general liability insurance policy with
5 coverage limits consistent with prevailing industry standards; or

6 2. A combination of self-insurance and excess liability
7 insurance.

8 B. The owner shall cause the owner of the land on which the
9 solar energy facility is located to be named as an additional
10 insured under the policy.

11 C. The owner shall deliver to the landowner a certificate of
12 insurance evidencing the policy. The landowner shall be given not
13 less than thirty (30) days prior written notice of any material
14 modification, cancellation, or termination of the insurance policy.

15 SECTION 17. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 809.7 of Title 17, unless there
17 is created a duplication in numbering, reads as follows:

18 A. The owner of a solar energy facility shall submit a
19 notification of intent to build a facility to the Oklahoma
20 Corporation Commission at least six (6) months before the
21 commencement of construction, as defined in Section 12 of this act.
22 The Corporation Commission shall prescribe the form and submittal
23 requirements of the notification; provided, the information required
24 on the notification form shall include a description of the

1 facility, the nameplate capacity, the general location of the
2 facility, and a map of the project boundary.

3 The owner of the solar energy facility shall send copies of the
4 notification to the board of county commissioners of every county in
5 which all or a portion of the solar energy facility is to be located
6 within twenty-four (24) hours of filing said notification with the
7 Corporation Commission. If all or a portion of the solar energy
8 facility is to be located within the incorporated area of a
9 municipality, a copy of the notification shall also be sent to the
10 governing body of the municipality within twenty-four (24) hours of
11 filing said notification with the Corporation Commission.

12 B. Within six (6) months of submitting the notification to the
13 Corporation Commission as provided for in subsection A of this
14 section, the owner of the solar energy facility shall cause a copy
15 of the notification to be published in a newspaper of general
16 circulation in the county or counties in which all or a portion of
17 the solar energy facility is to be located. Proof of publication
18 shall be submitted to the Corporation Commission.

19 C. Within six (6) months of submitting the notification to the
20 Corporation Commission as provided in subsection A of this section,
21 the owner of the solar energy facility shall cause a copy of the
22 notification to be sent, by certified mail, to:

23 1. Any operator, as reflected in the records of the Corporation
24 Commission, conducting oil and gas operations upon all or any part

1 of the surface estate on which the solar energy developer intends to
2 construct the solar energy facility;

3 2. Any operator, as reflected in the records of the Corporation
4 Commission, of an unspaced unit or a unit created by order of the
5 Corporation Commission, conducting oil and gas operations for a unit
6 where all or any part of the unit area is within the geographical
7 boundaries of the surface estate on which the solar energy developer
8 intends to construct the solar energy facility;

9 3. All lessees of oil and gas leases covering the mineral
10 estate underlying any part of the tracts of land that are filed of
11 record with the county clerk in the county where the tracts are
12 located and whose primary term has not expired. This paragraph
13 shall apply to tracts of land not described in paragraphs 1 and 2 of
14 this subsection on which the solar energy developer intends to
15 construct a solar energy facility;

16 4. Any owner of a working interest arising from an oil and gas
17 lease, as reflected in the records of the Corporation Commission, of
18 a unit created by order of the Corporation Commission, where all or
19 any part of the unit area is within the geographical boundaries of
20 the surface estate on which the solar energy developer intends to
21 construct the solar energy facility; and

22 5. Any operator of a well permitted by the Corporation
23 Commission for injection or disposal purposes, as reflected in the
24 records of the Corporation Commission, where such well is located

1 within the geographical boundaries of the surface estate on which
2 the solar energy developer intends to construct the solar energy
3 facility.

4 If the solar energy developer makes a search with reasonable
5 diligence and the whereabouts of a party entitled to notice cannot
6 be ascertained or the notice cannot be delivered, an affidavit
7 attesting to such diligent search shall be submitted to the
8 Corporation Commission.

9 D. Within sixty (60) days of publication of the notification in
10 a newspaper of general circulation as provided for in subsection B
11 of this section, the owner of the solar energy facility shall hold a
12 public meeting. Notice of the public meeting shall be published in
13 a newspaper of general circulation and submitted to the board of
14 county commissioners in the county or counties in which all or a
15 portion of the solar energy facility is to be located. The notice
16 shall contain the place, date, and time of the public meeting.
17 Proof of publication of the notice shall be submitted to the
18 Corporation Commission. The public meeting shall be held in the
19 county or in one of the counties in which all or a portion of the
20 solar energy facility is to be located.

21 E. With regard to the surface estate upon which the owner of a
22 solar energy facility intends to construct the facility, at least
23 sixty (60) days before entering upon the surface estate for the
24 purpose of commencement of construction, the owner shall provide

1 written notice, by certified mail, of its intent to construct the
2 solar energy facility to the parties described in subsection C of
3 this section.

4 The notice shall contain a map or plat of the proposed location,
5 with sufficient specificity to identify the solar energy facility to
6 be located on the governmental section and the approximate date
7 construction is proposed to commence. If the solar energy developer
8 makes a search with reasonable diligence and the whereabouts of a
9 party entitled to notice cannot be ascertained or the notice cannot
10 be delivered, an affidavit attesting to such diligent search shall
11 be submitted to the Corporation Commission. Within thirty (30) days
12 of receiving such notice, any party described in subsection C of
13 this section shall reciprocate, in writing by certified mail, the
14 relevant site, operational, and infrastructure information
15 sufficient to assist with the safe construction and operation of the
16 solar energy facility. This information shall include American Land
17 Title Association surveys, if available, and technical
18 specifications for existing subsurface or surface improvements.

19 Any information provided by an oil and gas operator or solar
20 energy developer pursuant to this subsection shall be confidential
21 and proprietary. The parties shall:

22 1. Use such information solely for the purposes of this
23 section;
24

1 2. Not disclose such information to any third party without the
2 prior written consent of the disclosing party, except as required by
3 law or order of a court of competent jurisdiction or the Corporation
4 Commission; and

5 3. Upon written request of the disclosing party, return or
6 destroy all such information and certify the same in writing.

7 The confidentiality obligations of this subsection shall not be
8 limited by or contingent upon the terms of any landowner lease
9 agreement or surface use agreement. Violation of this provision
10 shall constitute grounds for the Corporation Commission to suspend
11 or revoke a permit issued under this act, in addition to any other
12 remedies available at law or in equity.

13 F. The owner of a solar energy facility shall not commence
14 construction on the facility until the notification and public
15 meeting requirements of this section have been satisfied. Upon the
16 commencement of the sixty-day notice required under subsection E of
17 this section, the owner shall notify the Corporation Commission that
18 such notice has commenced and shall include an affirmation that all
19 other notices and notifications required by this section have been
20 properly provided.

21 If an owner of a solar energy facility fails to submit any
22 information required by this section, the owner shall be subject to
23 an administrative penalty not to exceed One Thousand Five Hundred
24 Dollars (\$1,500.00) per day, per violation, as provided by law.

1 G. The provisions of this section shall only apply to
2 facilities that commence construction after May 1, 2027, and shall
3 not apply to any facilities that commenced construction before that
4 date, including any subsequent maintenance, repairs, modifications,
5 or other work on existing facilities.

6 SECTION 18. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 809.8 of Title 17, unless there
8 is created a duplication in numbering, reads as follows:

9 A. When applicable, a solar energy developer shall submit site
10 plans and fees for any new solar energy facility to the Office of
11 the Oklahoma State Fire Marshal for review. Such site plans shall
12 be submitted when the solar energy facility is sixty percent (60%)
13 complete in design development. The site plans shall include an
14 accurate representation of:

- 15 1. Photovoltaic modules;
- 16 2. Inverters;
- 17 3. Monitoring and control equipment;
- 18 4. Substations;
- 19 5. Collection lines;
- 20 6. Access roads;
- 21 7. Temporary construction areas;
- 22 8. Operation and maintenance facilities; and
- 23 9. Other relevant supporting infrastructure.

1 B. Review by the Office of the Oklahoma State Fire Marshal
2 shall be limited to compliance with applicable fire and building
3 safety codes, including:

4 1. The Oklahoma-adopted International Building Code, as
5 codified at OAC 748:20-2-1; and

6 2. The 2018 Edition of the International Fire Code, as codified
7 at OAC 748:20-4-1.

8 C. The Office of the Oklahoma State Fire Marshal or local
9 authority having jurisdiction, where applicable, shall complete any
10 review subject to this section as soon as practicable, but in no
11 event later than thirty (30) calendar days following receipt of
12 complete site plans and fees. In the event the Office of the
13 Oklahoma State Fire Marshal or local authority having jurisdiction
14 does not complete its review within thirty (30) calendar days, any
15 applicable permits and certificates shall be deemed issued.

16 D. During the pendency of the review by the Office of the
17 Oklahoma State Fire Marshal, the following on-site activities may
18 proceed:

19 1. Timbering, clearing, and grubbing vegetation;

20 2. Civil grading and earthwork;

21 3. Installation of stormwater pollution prevention measures and
22 best management practices;

23 4. Installation of laydown areas and substation concrete
24 foundation pads, including rough grading and gravel;

1 5. Installation of racking systems, inverters, photovoltaic
2 modules, low-voltage collection systems, and above-ground
3 transmission poles;

4 6. Public road improvements, entrance installations, and
5 service road construction;

6 7. Placement of construction trailers with temporary power,
7 fiber connections, and portable sanitation facilities;

8 8. Sub-grade open trenching;

9 9. Installation of on-grade concrete foundations; and

10 10. Installation of structural columns and beams.

11 E. The Office of the Oklahoma State Fire Marshal may assess a
12 plan review fee at a rate of six cents (\$0.06) per square foot of
13 actual erected solar facilities, provided that the total fee shall
14 not exceed Five Hundred Thousand Dollars (\$500,000.00) for any
15 single solar energy facility. The amount of such fee shall have a
16 reasonable connection to the work actually performed by the Office
17 of the Oklahoma State Fire Marshal.

18 F. Of the fees collected pursuant to this section:

19 1. Seventy-five percent (75%) shall be distributed to the local
20 fire department providing primary fire protection services to the
21 jurisdiction where the facility is located, within sixty (60) days
22 of receipt. Funds distributed pursuant to this paragraph shall be
23 used solely for fire protection, fire prevention, inspections,
24

1 training, or emergency response activities related to the facility;
2 and

3 2. Twenty-five percent (25%) shall be distributed to the permit
4 issuing authority, whether the Office of the Oklahoma State Fire
5 Marshal or a recognized local authority having jurisdiction, if
6 delegated.

7 G. If the Office of the Oklahoma State Fire Marshal delegates
8 any site plan review, permitting, or similar authority over a solar
9 energy facility to a recognized local authority having jurisdiction,
10 fees and timing shall continue to conform the requirements of this
11 section.

12 H. The provisions of this section shall only apply to solar
13 energy facilities designed to provide electricity to the grid, as
14 well as any utility-scale solar energy facility designed to deliver
15 electricity directly from a generating facility to a single end-use
16 customer.

17 SECTION 19. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 809.9 of Title 17, unless there
19 is created a duplication in numbering, reads as follows:

20 A. In addition to complying with the provisions of this act, the
21 owner of a solar energy facility shall comply with the provisions of
22 the Commercial Solar Facility Decommissioning Act in accordance with
23 Section 820 et seq. of Title 17 of the Oklahoma Statutes.

1 B. An owner shall submit evidence of financial assurance
2 sufficient to secure the performance of its decommissioning
3 obligations in accordance with the Commercial Solar Facility
4 Decommissioning Act on or before the tenth year of operation of the
5 facility and thereafter upon request by the Commission, but at least
6 once every five (5) years for the life of the solar energy facility.
7 The amount of such financial assurance shall be calculated in
8 accordance with the Commercial Solar Facility Decommissioning Act,
9 but shall not be less than one hundred twenty-five percent (125%) of
10 the estimate of the total cost of decommissioning, less the salvage
11 value of facility equipment and any portion of the value of such
12 equipment pledged to secure outstanding debt.

13 SECTION 20. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 809.10 of Title 17, unless there
15 is created a duplication in numbering, reads as follows:

16 The Oklahoma Corporation Commission shall have authority to
17 promulgate rules as necessary to implement the provisions of the
18 Oklahoma Solar Energy Development Act and to set fees necessary to
19 perform the duties and responsibilities of the Commission pursuant
20 to the act. The Oklahoma Corporation Commission shall have
21 exclusive jurisdiction to enforce the provisions of this act that
22 are within its authority.

23 SECTION 21. This act shall become effective July 1, 2026.
24

SECTION 22. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 25th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the _____ day of _____, 2026.

Presiding Officer of the Senate